

INDEPENDENT CONTRACTOR AGREEMENT

(Loans Consultant)

This Independent Contractor Agreement ("Agreement") is made and entered into this ____ day of _____, 20____, by and between:

Byax Financial Services Ltd, a duly registered financial institution, having its principal office at Lukuli, Makindye (hereinafter referred to as the "Institution"),

AND

_____, an independent contractor engaged as a Loans Consultant, holding contractor identification number _____, and stationed at Lukuli, Makindye (hereinafter referred to as the "Contractor").

1. Scope of Work

The Contractor agrees to provide loans disbursement management services to the Institution, including but not limited to:

- Processing loan applications;
- Verifying and assessing client information and financial capability;
- Conducting due diligence including site visits of business premises, residential addresses, and guarantors;
- Approving or recommending loan applications based on thorough verification;
- Managing and responsibly disbursing funds entrusted to the Contractor for client loans, ensuring the funds are used to grow the Institution's portfolio without causing losses.
- Collection of the Loan Repayments while ensuring growth of the cash flows.

2. Independent Contractor Status

- The Contractor shall perform services as an independent contractor and not as an employee, partner, or agent of the Institution.
- The Contractor shall be responsible for all taxes, insurance, and benefits associated with their services.
- The Contractor has no authority to bind the Institution or act on its behalf except as expressly authorized.

3. Verification and Due Diligence

The Contractor affirms and guarantees:

- All loan applications processed have been personally verified and assessed for financial capability and authenticity.
- Business premises, residential addresses, and guarantors associated with loan applicants have been inspected and verified.
- Guarantors' financial standings have been confirmed to ensure their capacity to cover loan obligations in case of default.
- All submitted documents, income statements, collateral, and related information have been checked for authenticity and accuracy.

4. Financial Responsibility and Compensation

- The Contractor shall be responsible for all finances disbursed to them for loan clients under their management. The Contractor shall ensure that these funds are handled prudently to grow the Institution's loan portfolio and avoid any financial losses.
- The Contractor's remuneration shall be based on the profits earned from the loans managed, whereby the Contractor will receive **13% of the net monthly profits** generated from their portfolio.
- Additionally, the Contractor shall receive a daily food allowance ranging from **UGX 5,000 to UGX 20,000**, subject to the growth of cash-inflow attributed to their loan management.
- The Contractor shall be held liable for any financial losses caused by negligence, fraud, or theft attributable to their actions or omissions. Any such fraud or theft shall be subject to legal proceedings under the courts of law of Uganda.

5. Liability and Accountability

- The Contractor acknowledges responsibility for any negligence or failure to perform due diligence that results in loan default or disappearance of the loan applicant.
- The Contractor understands that disciplinary and legal actions, including financial recovery measures, may be taken by the Institution in such cases.

6. Term and Termination

- This Agreement shall commence on the date signed below and shall continue until terminated by either party with a written notice of **at least thirty (30) days**.
- The Institution shall not terminate this Agreement unless the Contractor has failed to deliver on their obligations and promises.
- This Agreement shall immediately cease to stand if either party reasonably feels insecure or unsafe regarding the continuation of the relationship.
- Neither party may terminate this Agreement immediately without prior written notice.

7. Confidentiality

- The Contractor agrees to maintain the confidentiality of all client information, loan application details, and Institution proprietary information obtained during the engagement.

8. Governing Law

This Agreement shall be governed by and construed in accordance with the laws of Uganda.

9. Consent and Acceptance

By signing this Agreement, the Contractor acknowledges understanding and acceptance of all terms and guarantees full responsibility for the loan applications handled.

IN WITNESS WHEREOF, the parties hereto have executed this Independent Contractor Agreement as of the date first above written.

CONTRACTOR (Loans Consultant):

Full Name: _____

Contractor ID Number: _____

Signature: _____

Date: _____

FOR BYAX FINANCIAL SERVICES LTD:

Authorized Representative Name: _____

Designation: _____

Signature: _____

Date: _____

Witness:

Name: _____

Signature: _____

Date: _____